

Surviving an Audit

There are a few simple steps you can take to reduce your chances of being audited, but if you're one of the 0.5 percent who get chosen randomly for the experience, don't panic. Being prepared is more than half the battle.



Some characteristics of a tax return, such as filing Schedule C for self-employed individuals or experiencing dramatic swings in income, will increase your chances of being audited. But as long as you reported everything accurately and have documentation to prove it, you have nothing to worry about.

The most basic thing you can do to reduce your chances of being audited is to make sure there are no math errors on your return. Too many math errors will red flag your return for review. Make sure social security numbers for you and your dependents are accurate. If you won't be able to file your return by the April 15 deadline, file for an extension before the deadline. Attach an explanation for anything that's not obvious. For example, if you report an amount that differs from the amounts on your W-2 or 1099s, explain the reason. Be sure to sign your return.

How Are Returns Chosen for Audit?

The IRS uses something called the discriminant function system (DIF), which assigns a score to key elements on your return. If the total score for your entire return is greater than the IRS guidelines, the computer will kick your return out for review by an IRS agent. If the agent feels your return should be audited after reviewing it, you'll be contacted. A very small percentage of returns are chosen completely by random. File close to the